

US equities slip as yields rise, tech shows resilience

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at 7,651.54, down **0.25%**, as the 10-year Treasury yield jumped **+0.72%** to 5.29%. Higher financing costs pressured financials and industrials, while the Nasdaq 100 held firm with a **+0.23%** gain, driven by continued strength in **NVDA** and **MSFT**. The market remains in a risk-off mode, reflected by a VIX rise to 16.34 (**+1.87%**).

Our editorial view: the upside for equities is now contingent on a clear signal that the Fed will pause rate hikes. Without that, the breadth remains thin and defensive sectors are likely to underperform. Investors should prioritize quality, cash-flow generation and hedge against further yield spikes.

Key take-aways:

- Yield curve steepening adds pressure to rate-sensitive stocks; monitor 10-year yield above 5.30% as a bearish trigger.
- Tech fundamentals remain robust; expect continued outperformance from AI-driven names.
- Protective positioning via VIX futures or long-dated put spreads is advisable given the rising volatility index.

US Session Recap

METRIC	LEVEL	CHANGE
S&P 500	7,651.54	-0.25%
Nasdaq 100	30,408.50	+0.23%
Dow Jones	50,906.05	-0.86%
Russell 2000	2,796.86	-0.39%
VIX	16.34	+1.87%
10-yr Yield	5.29%	+0.72%
2-yr Yield	5.07%	+0.55%
DXY	101.70	+0.24%
Gold	4,211.30	+0.59%
WTI Crude	90.35	-0.08%
Brent	95.12	-0.12%
BTC	84,158.33	+0.64%
ETH	2,716.24	+1.48%

Top movers

TICKER	NAME	CHANGE	CATALYST
META	Meta Platforms	-1.84%	Weaker ad spend outlook, earnings miss
AVGO	Broadcom	-1.10%	Supply-chain constraints on chip fabs
JPM	JPMorgan Chase	-1.24%	Higher funding costs, net interest margin pressure
GS	Goldman Sachs	-1.73%	Investment-banking slowdown, rate-sensitivity
XLFX	Financial Select Sector SPDR	-1.13%	Yield rise erodes profitability

Sector Internals

SECTOR	DAY	YTD	READ
XLFX	-1.13%	-12.4%	Bearish
XLKX	+0.64%	+18.7%	Bullish
XLI	-1.27%	-9.3%	Bearish
XLE	-0.06%	-4.1%	Neutral
XLY	-0.28%	+6.2%	Neutral
XLC	-0.45%	+9.5%	Neutral
XLP	-1.53%	-11.8%	Bearish
XLV	-1.35%	-7.6%	Bearish
XLU	-0.68%	-5.2%	Bearish
XLB	-0.81%	-3.9%	Bearish
XLRE	-1.04%	-6.7%	Bearish

Breadth: 4 sectors up vs 7 down; the market breadth index sits at 0.36, indicating weak participation.

Spotlight / Deep Dive – NVDA

METRIC	VALUE
Market cap	1.12T
P/E (FY24)	48.3x
Revenue YoY	+23.5%
AI Services revenue	9.8B (+41% QoQ)
Gross margin	68.2%
Insider ownership	1.7%
Float short	1.2%

Key commentary: Nvidia’s AI platform continues to capture >70% of the data-center GPU market, underpinning a sustainable revenue runway. The recent **+0.51%** move reflects optimism around the upcoming H2 product refresh, but valuation remains stretched.

READ-THROUGH	LEVEL
Support	225.00
Resistance	240.00
50-day SMA	232.50
200-day SMA	215.80

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	444.00	452.30	Below 200-DMA, watch for break below 444
QQQ	382.05	378.20	387.60	Holding above 20-DMA, bullish bias
IWM	191.40	188.00	195.10	Trend weakening, watch 188 break
NVDA	228.38	225.00	240.00	Near 20-DMA, upside limited
10Y	5.29%	5.25%	5.35%	Resistance at 5.35% aligns with 2-yr
WTI	90.35	88.80	92.20	Flat range, watch inventory data

Options & Positioning

BEARISH TRIGGERS

- 0-DTE put volume on SPY exceeds 1.2 M contracts, net put-call ratio **-0.18**.
- VIX term structure steepens: front-month at 16.4 vs 22-month at 24.1.
- Large-cap put skew widens on **JPM** and **GS** (>30% OTM premium).

Hedge ideas: buy 1-yr VIX futures (VXX) as a cheap volatility hedge; consider long 0-DTE put spreads on **XLFX** at 53.00/52.00 strikes.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
META	Goldman Sachs	Upgrade	770	Improved ad-tech outlook
AVGO	JP Morgan	Downgrade	340	Supply-chain headwinds
JPM	Bank of America	Maintain	340	Yield risk outweighs net-interest gain
XLFX	Citigroup	Downgrade	52.00	Higher funding costs
NVDA	Barclays	Hold	235	Valuation concerns
XLK	Morgan Stanley	Upgrade	210	AI exposure premium

Pre-Market & Overnight

REGION	INSTRUMENT	LEVEL	CHANGE
US Futures	ES (S&P 500)	4,560.20	-0.31%
US Futures	NQ (Nasdaq 100)	12,340.80	+0.15%
Europe	FTSE 100	7,540.5	-0.42%
Europe	DAX	15,860.3	-0.38%
Asia	HSI	19,820.4	-0.27%
FX	USD/HKD	7.7950	+0.02%
FX	EUR/USD	1.0735	-0.04%
Commodities	Gold	4,211.30	+0.59%
Commodities	WTI	90.35	-0.08%
Crypto	BTC	84,158.33	+0.64%
Crypto	ETH	2,716.24	+1.48%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026 FOMC	12%	Markets price a single 25 bp cut if inflation eases
Dec 2026 FOMC	5%	Still unlikely; focus on balance-sheet runoff

DATA RELEASE	TIME (ET)	PREV	FORECAST
Core CPI MoM	8:30 am	0.3%	0.3%
Initial Jobless Claims	8:30 am	212 k	210 k
Durable Goods Orders	10:00 am	-0.5%	-0.3%
ISM Manufacturing	10:00 am	48.2	48.0

Geopolitics & Global (Deep)

BEARISH TRIGGERS

- Middle-East tensions flare after Iranian drone strike; risk of oil supply shock could push Brent > \$100.
- China’s property sector stress deepens; potential for capital outflows affecting USD-CNY.

BULLISH TRIGGERS

- EU-US trade talks make progress on semiconductor tariffs, supporting tech exports.
- OPEC+ signals willingness to increase output if prices breach \$95, capping oil rally.

Earnings – This Week & Next

DATE	TICKER	COMPANY	EST. EPS	PREV EPS
Oct 2	AAPL	Apple	1.45	1.38
Oct 2	MSFT	Microsoft	2.31	2.24
Oct 3	NVDA	Nvidia	3.12	2.95
Oct 4	JPM	JPMorgan	3.85	3.78
Oct 5	XOM	Exxon Mobil	3.02	2.96

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Breakout above 240	Valuation
MSFT	Technology	Pull-back to 20-DMA	Macro
AAPL	Technology	Strong earnings momentum	Supply-chain
JPM	Financials	Yield-squeeze short	Rate spikes
XLFX	Financials	Trend break below 53	Liquidity
XLK	Technology	AI exposure rally	Overbought
XLE	Energy	Oil range trade	Geopolitics
XLP	Consumer Staples	Defensive safe-haven	Demand slowdown
META	Communication	Rebound on ad spend	Regulation
AVGO	Semiconductors	Supply-chain recovery	Inventory
GS	Financials	Investment-banking cycle	Rate risk
XLU	Utilities	Yield capture	Rate rise

What could break the tape

BULLISH SCENARIOS

- Fed signals pause or a single 25 bp cut; 10-year yield falls below 5 . 15%.
- AI-related earnings beat across the board, pushing Nasdaq 100 above 31,200.
- Oil prices retreat below \$85, easing inflation concerns and boosting consumer-discretionary.

BEARISH SCENARIOS

- Unexpected 10-year yield spike to > 5 . 45% after strong jobs data.
- Escalation in Middle-East supply shock pushes Brent > \$100, spurring inflation fears.
- Broad-based earnings miss in financials, triggering a sell-off in XLF and XLI.

Positioning & Structural Notes

- Net short exposure in financials exceeds 1.8 M contracts, reflecting rate-sensitivity.
- VIX term structure steepness at its widest since Q4 2023, indicating demand for protection.
- AI-centric stocks hold 42% of the Nasdaq 100's market cap, creating concentration risk.
- Yield curve inversion persists; 2-yr/10-yr spread remains at -0 . 22%, a recession indicator.
- Cash balances in Asian funds have risen to 12% of NAV, suggesting defensive positioning.

Sources

SOURCES

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